

Insurance - Conduct Standards

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Application and Definitions

1.1

Unless otherwise stated, this Part applies to:

1. (1) a UK Solvency II firm ;
2. (2) in accordance with Insurance General Application 3, the Society , as modified by 4;
3. (3) in accordance with Insurance General Application 3, managing agents , as modified by 4;
4. (4) a third country branch undertaking (other than a Swiss general insurer);
5. (5) a UK ISPV ;
6. (5A) a third country insurance services provider ; and
7. (6) in relation to any of the foregoing firms , any person who is:
 1. (a) a Conduct Rules non-executive director ;
 2. (b) an employee of a firm who is a key function holder ;
 3. (c) a certification employee (other than a key function holder);
 4. (d) approved under section 59 of FSMA by either:
 1. (i) the PRA ; or
 2. (ii) the FCA , in relation to a relevant senior management function ;
 5. (e) an employee who should have been approved under section 59 of FSMA by either:
 1. (i) the PRA ; or
 2. (ii) the FCA , in relation to a relevant senior management function ;
 6. (f) an employee who is performing a function that would have been a controlled function but for Insurance - Senior Management Functions 2.4; or
 7. (g) a person in relation to whom a notice under section 59ZZA has been or could be given by the PRA to an authorised person.

1.2

In this Part the following definition shall apply:

employee

has the meaning given in Insurance ? Certification 1.3.

2

Scope of Conduct Standards

2.1

If you are a natural person who is:

1. (1) an _employee_ of a _firm_ who is a _key function holder_ ;
2. (2) approved under section 59 of _FSMA_ by either:
 1. (a) the _PRA_ ; or
 2. (b) the _FCA_ , in relation to a _relevant senior management function_ ; or
3. (3) a _person_ in relation to whom a notice under _section 59ZZA_ has been given by the _PRA_ to an _authorised person_ ,

you must comply at all times with all of the _conduct standards_.

2.1A

If you are a _Conduct Rules non-executive director_ , you must comply at all times with the _conduct standards_ specified in 3.1 to 3.3, 3.7 and 3.8.

2.1B

If you are an _employee_ of a type specified in 1.1(6)(c), (e), (f) or (g) you must comply at all times with the _conduct standards_ specified in 3.1 to 3.3.

2.2

A _firm_ must require:

1. (1) any _person_ performing a _key function_ to observe the _conduct standards_ specified in 3.1 to 3.3;
2. (2) any _key function holder_ (other than a _notified non-executive director_ and an _authorised UK representative_) to observe the _conduct standards_ specified in 3.4 to 3.8, in addition to complying with (1);
3. (3) any _notified non-executive director_ to observe the _conduct standards_ specified in 3.7 and 3.8, in addition to complying with (1); and
4. (4) an _employee_ of a type specified in 1.1(6)(c), (e) or (f) to observe the _conduct standards_ specified in 3.1 to 3.3.

3

Conduct Standards

3.1

Individual Conduct Standard 1: You must act with integrity.

3.2

Individual Conduct Standard 2: You must act with due skill, care and diligence.

3.3

Individual Conduct Standard 3: You must be open and co-operative with the _FCA_ , the _PRA_ and other regulators.

3.4

Senior Manager Conduct Standard 1: You must take reasonable steps to ensure that the business of the _firm_ for which you are responsible is controlled effectively.

3.5

Senior Manager Conduct Standard 2: You must take reasonable steps to ensure that the business of the _firm_ for which you are responsible complies with the relevant requirements and standards of the _regulatory system_.

3.6

Senior Manager Conduct Standard 3: You must take reasonable steps to ensure that any delegation of your responsibilities is to an appropriate _person_ and that you oversee the discharge of the delegated responsibility effectively.

3.7

Senior Manager Conduct Standard 4: You must disclose appropriately any information of which the _FCA_ or the _PRA_ would reasonably expect to have notice.

3.8

Senior Manager Conduct Standard 5: When exercising your responsibilities, you must pay due regard to the interests of current and potential future _policyholders_ in ensuring the provision by the _firm_ of an appropriate degree of protection for their insured benefits.

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Lloyd's

4.1

This Part applies to the _Society_ and _managing agents_ separately.